

RESERVE BANK OF INDIA

DEPARTMENT OF REGULATION, CENTRAL OFFICE, MUMBAI

RBI/2024-25/118 DOR.AML.REC.42/14.01.001/2024-25

September 10, 2024

Master Direction - Know Your Customer (KYC) Direction - Periodic Updation and V-CIP

1. Periodic KYC Updation Timelines: Regulated Entities shall carry out periodic KYC updation based on customer risk categorization. Periodic updation of Customer Due Diligence (CDD) shall be conducted at least once every two years for high-risk customers, at least once every eight years for medium-risk customers, and at least once every ten years for low-risk customers.
2. Re-KYC for Non-Risk Customers: Where there is no change in KYC information, a self-declaration from the customer submitted through internet banking, mobile app, ATM, or email shall suffice for periodic updation.
3. Video-based Customer Identification Process (V-CIP): V-CIP is an alternate method of digital customer verification. The V-CIP infrastructure must ensure live, real-time audio-visual interaction conducted by an authorized official of the RE. The official must verify the live photograph against the Aadhaar or OVD photograph using facial recognition algorithms with a match confidence score exceeding 90 percent.

4. Geolocation Requirements: During the V-CIP process, the application must capture live geotagging coordinates to confirm that the customer is physically present within the sovereign territory of India during the session. V-CIP sessions originating from IP addresses outside India shall be immediately terminated.
5. Politically Exposed Persons (PEPs): Accounts of Politically Exposed Persons (including foreign PEPs and domestic senior positions) require prior approval of Senior Management (at least at Deputy General Manager level). Enhanced Due Diligence (EDD) be performed, and source of funds must be verified.
6. Cash Transaction Reporting (CTR): Under Rule 3 of the PML Rules, all cash transactions of rupees ten lakh (INR 1,000,000) or its equivalent in foreign currency, whether conducted in a single transaction or a series of integrally connected transactions, shall be reported to the Financial Intelligence Unit - India (FIU-IND) on or before the 15th day of the succeeding month.

7. Beneficial Ownership Identification: For corporate entities, the beneficial owner is the natural person who ultimately owns or controls a controlling ownership interest, defined as holding more than ten percent of shares or capital or profits.
8. Threshold for Partnerships and Trusts: For partnership firms and unincorporated associations, the beneficial ownership threshold is fifteen percent (15 percent) of capital or profits. For trusts, the author of the trust, the trustee, and beneficiaries holding fifteen percent or more interest must be identified and verified.
9. Cross-Border Wire Transfers: All cross-border wire transfers exceeding rupees fifty thousand (INR 50,000) or equivalent shall carry complete originator and beneficiary information, including name, account number, and unique customer identification number.

10. Small Accounts Framework: A small account may be opened by an individual with simplified identification documentation. The aggregate of all credits in a financial year in a small account shall not exceed rupees one lakh (INR 1,00,000).

11. Balance and Withdrawal Limits on Small Accounts: The aggregate of all withdrawals and transfers in a month shall not exceed rupees ten thousand (INR 10,000), and the balance at any point in time shall not exceed rupees fifty thousand (INR 50,000).

12. Validity of Small Accounts: A small account shall remain valid initially for a period of twelve months. If the account holder submits proof of having applied for an Officially Valid Document (OVD), validity may be extended by an additional twelve months.

Yours faithfully,

(Sunil Kumar)

Chief General Manager